

compensate investors for this slight additional risk, the yield on government money funds is a touch higher. Some of the dividends are free from state and local taxes in certain states.

» *Corporate money funds*, also known as **prime money funds**, invest in money market securities issued by companies in the United States and abroad. (The Reserve Primary Fund I mentioned earlier was a corporate money fund.) Because the risk that a corporation will fail to repay its debts is considered higher than the risk of default by the federal government or a federal agency, and because the dividends paid by a corporate money fund are not exempt from state tax, corporate money funds tend to offer somewhat higher yields than money funds that invest in government instruments. Neither the additional risk nor the additional yield is very large, however.

- **Tax-exempt money market funds.** If you earn a relatively high income and are in a higher tax bracket, you should consider these. When people refer to a money market fund as tax-exempt, they generally mean only that its dividends are exempt from *federal* tax. The dividends of tax-exempt funds are sometimes exempt from state (and in certain cases, local) tax, but this is not the case for all such funds. In either case, the yield on tax-exempt money funds is lower than the yield on taxable funds, but since the dividends aren't subject to federal income tax, you may end up earning more money in the end with a tax-exempt fund. Here are your choices:

» *Federal tax-exempt money funds* (sometimes referred to simply as tax-exempt money funds) invest in money market instruments issued by various states, counties, cities, and towns, along with tax-exempt entities like utilities. The dividends paid by these funds are not subject to